

IS 1110 Business Foundation

Understanding Basic Business Concepts

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Subtopic Coverage

- 1.1 Understanding Capital
 - 1.2 Understanding Assets
 - 1.3 Understanding Liabilities
 - 1.4 Understanding Profits
 - 1.5 Understanding Return
 - 1.6 Discussion on Basic Business Concepts in Relation to Technology Driven Companies
- With the Business sense
 - In Relation to Technology Driven Companies

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IT industry

Apple Inc.
CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS (Unaudited)
(In millions, except number of shares which are reflected in thousands and per share amounts)

	Three Months Ended		Six Months Ended	
	March 27, 2021	March 28, 2020	March 25, 2021	March 28, 2020
Net sales:				
Products	\$ 72,683	\$ 44,965	\$ 168,361	\$ 124,069
Services	16,901	13,348	32,662	26,063
Total net sales ⁽¹⁾	89,584	58,313	201,023	150,132
Cost of sales:				
Products	46,447	31,321	108,577	83,396
Services	5,059	4,572	10,039	9,349
Total cost of sales	51,505	35,943	118,616	92,545
Gross margin	38,079	22,370	82,407	57,587
Operating expenses:				
Research and development	5,262	4,565	10,425	9,016
Selling, general and administrative	5,314	4,952	10,945	10,149
Total operating expenses	10,576	9,517	21,370	19,165
Operating income	27,503	12,853	61,037	38,422
Other income/(expenses), net	508	282	553	631

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IT industry

Earnings per share:

Basic	\$ 1.41	\$ 0.64	\$ 3.11	\$ 1.91
Diluted	\$ 1.40	\$ 0.64	\$ 3.08	\$ 1.89

Shares used in computing earnings per share:

Basic	16,753,476	17,440,402	16,844,298	17,550,281
Diluted	16,929,157	17,618,765	17,021,423	17,718,591

⁽¹⁾ Net sales by reportable segment:

Americas	\$ 34,306	\$ 25,473	\$ 80,616	\$ 66,840
Europe	22,264	14,294	49,570	37,567
Greater China	17,728	9,455	39,041	23,033
Japan	7,742	5,206	16,027	11,429
Rest of Asia Pacific	7,544	3,895	16,769	11,263
Total net sales	\$ 89,584	\$ 58,313	\$ 201,023	\$ 150,132

⁽¹⁾ Net sales by category:

iPhone	\$ 47,938	\$ 28,962	\$ 113,536	\$ 84,919
Mac	9,102	5,351	17,777	12,811
iPad	7,807	4,368	16,242	10,345
Wearables, Home and Accessories	7,836	6,284	20,807	16,294
Services	16,901	13,348	32,662	26,063
Total net sales	\$ 89,584	\$ 58,313	\$ 201,023	\$ 150,132

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IT industry

Consolidated balance sheet data

	2019	2018	At March 31, 2017	2016	2015
			(In thousands)		
Cash and cash equivalents	\$ 189,476	\$ 194,897	\$ 144,908	\$ 148,986	\$ 124,802
Working capital	\$ 366,257	\$ 332,635	\$ 354,480	\$ 387,515	\$ 286,034
Total assets	\$ 1,132,473	\$ 1,113,180	\$ 923,420	\$ 980,012	\$ 489,737
Long-term debt, less current portion	\$ 351,320	\$ 288,227	\$ 176,722	\$ 185,633	\$ —
Series A Convertible Preferred Stock	\$ 107,161	\$ 106,996	\$ —	\$ —	\$ —
Redeemable noncontrolling interest	\$ 23,576	\$ —	\$ —	\$ —	\$ —
Noncontrolling interests	\$ —	\$ 17,460	\$ 87,984	\$ 152,942	\$ —
Virtusa stockholders' equity	\$ 390,774	\$ 418,623	\$ 497,032	\$ 475,013	\$ 423,775

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IT industry

Consolidated statement of income data

	2019	2018	2017	2016	2015
Revenue	\$ 1,247,100	\$ 1,224,466	\$ 944,715	\$ 958,952	\$ 478,288
Cost of revenue	(89,851)	(79,145)	(439,929)	(399,103)	(394,425)
Gross profit	1,157,249	1,145,321	504,786	559,849	83,863
Operating expenses	(30,346)	(28,837)	(119,410)	(101,673)	(11,884)
Operating income	1,126,903	1,116,484	385,376	458,176	71,979
Other income/(expense)	(5,134)	(1,188)	14,313	(1,248)	(4,831)
Income before income tax expense	1,121,769	1,115,296	399,689	456,928	67,148
Income tax expense	(20,213)	(12,458)	(14,351)	(12,895)	(20,972)
Net income	\$ 1,101,556	\$ 1,102,838	\$ 385,338	\$ 444,033	\$ 46,176
Less: net income attributable to the noncontrolling interest, net of tax	(1,000)	(1,000)	(1,000)	(1,000)	(1,000)
Net income attributable to Virtusa	\$ 1,100,556	\$ 1,101,838	\$ 385,338	\$ 443,033	\$ 45,176
Less: Series A convertible preferred stock dividends and expenses	(4,100)	(4,100)	—	—	—
Net income (loss) available to Virtusa common stockholders	\$ 1,096,456	\$ 1,097,738	\$ 385,338	\$ 443,033	\$ 45,176
Basic earnings (loss) per share available to Virtusa common stockholders	\$ 0.46	\$ 0.46	\$ 0.46	\$ 0.46	\$ 0.46
Diluted earnings (loss) per share available to Virtusa common stockholders	\$ 0.39	\$ 0.39	\$ 0.39	\$ 0.39	\$ 0.39
Weighted average number of common shares outstanding	23,817,028	23,817,028	23,817,028	23,817,028	23,817,028
Basic	23,817,028	23,817,028	23,817,028	23,817,028	23,817,028
Diluted	23,817,028	23,817,028	23,817,028	23,817,028	23,817,028

(1) Amounts reflect the adoption of Accounting Standards Topic 860 "Transfer from Contracts with Customers" using the modified retrospective method.

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Vietnam Corporation and Subsidiaries
Consolidated Statement of Income (Loss)
(In thousands, except per share amounts)

	2019	2018	2017
Revenue	\$1,247,863	\$1,203,669	\$ 838,731
Costs of revenue	884,672	721,443	493,970
Gross profit	363,191	482,226	344,761
Operating expenses:			
Selling, general and administrative expenses	292,843	248,837	219,410
Other income (expense)	70,368	46,387	18,371
Income before income tax	140,716	279,776	143,722
Income tax expense	2,872	4,284	4,115
Interest expense	(18,146)	(7,834)	(7,682)
Foreign currency transaction gains (losses), net	(21,135)	(5,545)	1,009
Other, net	(2,482)	3,342	1,053
Total other income (expense)	(21,763)	(9,871)	427
Income before income tax expense	118,953	270,905	144,139
Income tax expense	20,473	32,888	2,541
Net income	98,480	238,017	141,598
Less: net income attributable to noncontrolling interest, net of tax	1,547	7,694	6,399
Net income available to Vietnam stockholders	16,146	1,254	11,838
Less: Series A Convertible Preferred Stock dividends and accretion	6,130	3,583	—
Net income (loss) available to Vietnam common stockholders	\$ 10,016	\$ (2,329)	\$ 11,838
Basic earnings (loss) per share available to Vietnam common stockholders	\$ 0.40	\$ (0.09)	\$ 0.40
Diluted earnings (loss) per share available to Vietnam common stockholders	\$ 0.38	\$ (0.09)	\$ 0.39

See accompanying notes to consolidated financial statements

Auditor's report

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Contractual obligations:

The following table sets forth our future contractual obligations and contractual commitments at March 31, 2019:

	2019	2020	2021	2022	2023	2024	2025	2026
Long-term debt obligations (1)	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000
Operating lease obligations (2)	80,347	10,712	10,712	10,712	10,712	10,712	10,712	10,712
Capital lease obligations (3)	15,100	14,400	14,400	14,400	14,400	14,400	14,400	14,400
Contract liability (4)	15	15	15	15	15	15	15	15
Contract liability (5)	10,712	10,712	10,712	10,712	10,712	10,712	10,712	10,712
Capital and other prepayment obligations (6)	10,712	10,712	10,712	10,712	10,712	10,712	10,712	10,712
Contractual obligations (7)	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000
Total	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000	\$ 3,000,000

- (1) Our obligations include representations of our long-term debt obligations as of March 31, 2019, as reported in our consolidated financial statements for further information.
- (2) Interest on long-term debt of 3.0% was calculated using interest rates effective as of March 31, 2019.
- (3) Our obligations under our operating lease contracts consist of future payments primarily related to our real estate leases.
- (4) Capital lease obligations to vehicles.
- (5) We accrue and contribute to benefit plans covering our employees in India and in Lanka. The amounts in the table represent the expected benefits to be paid over the next five years. We are not able to quantify expected benefit payments beyond five years with any certainty. We make periodic contributions to the plans each that the contractual amounts are increased.
- (6) Related to our Series A Convertible Preferred Stock, which is payable quarterly.
- (7) Related to the off-balance sheet obligations.

At March 31, 2019, we had \$4.7 million of non-recognition of benefits. This represents the net benefits associated with the pension in the United States and non-recognition of benefits that have not been recognized in our financial statements due to uncertainty regarding their realization. Reversals of the related net pension with the relevant net assetive may

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Consolidated Balance Sheet

(In thousands, except share and share amounts)

	March 31, 2019	March 31, 2018
Assets		
Current assets		
Cash and cash equivalents	\$ 4,000	\$ 4,000
Accounts receivable	10,000	10,000
Inventory	10,000	10,000
Prepaid expenses and other current assets	10,000	10,000
Other current assets	10,000	10,000
Non-current assets		
Property, plant and equipment, net	10,000	10,000
Intangible assets, net	10,000	10,000
Other non-current assets	10,000	10,000
Liabilities		
Current liabilities		
Accounts payable	10,000	10,000
Accrued liabilities	10,000	10,000
Other current liabilities	10,000	10,000
Non-current liabilities		
Long-term debt	10,000	10,000
Other non-current liabilities	10,000	10,000
Equity		
Common stock	10,000	10,000
Additional paid-in capital	10,000	10,000
Retained earnings	10,000	10,000
Other equity	10,000	10,000

See accompanying notes to consolidated financial statements

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Cash flow:

The following table summarizes our cash flows for the periods presented:

	2019	2018	2017
Cash provided by operating activities	\$ 48,458	\$ 45,488	\$ 27,458
Cash used in investing activities	(75,100)	(42,488)	(10,488)
Cash provided by (used in) financing activities	14,748	17,442	(84,388)
Effect of exchange rate changes on cash, cash equivalents and restricted cash	(21,323)	2,472	(2,472)
Net increase (decrease) in cash and cash equivalents and restricted cash	(33,217)	22,912	(69,900)
Cash, cash equivalents and restricted cash, end of year	\$ 1,482,112	\$ 1,505,024	\$ 1,574,936

Net cash provided by operating activities

Net cash provided by operating activities increased in the fiscal year ended March 31, 2019 compared to the fiscal year ended March 31, 2018, primarily due to an increase in the net income adjusted for non-cash expenses and a decrease in the working capital, primarily related to an increase in long-term assets and long-term liabilities during the fiscal year ended March 31, 2019.

Net cash provided by operating activities decreased in the fiscal year ended March 31, 2018 compared to the fiscal year ended March 31, 2017, primarily due to an increase in liabilities reported to be paid in subsequent years (2017) and an increase in non-cash expenses attributable to the Tax Act is expected to be paid over the next 5 years.

Net cash used in investing activities

Net cash used in investing activities decreased in the fiscal year ended March 31, 2019 compared to the fiscal year ended March 31, 2018. The increase in net cash used in investing activities is primarily due to the increase in the purchase of property and equipment and net decrease in the purchase of intangible assets during the fiscal year ended March 31, 2019 offset by a decrease in business acquisition payments.

Net cash used in investing activities increased in the fiscal year ended March 31, 2018 compared to the fiscal year ended March 31, 2017. Net cash used in investing activities is primarily due to an increase in business acquisition payments.

Net cash provided by financing activities

Net cash provided by financing activities decreased in the fiscal year ended March 31, 2019 compared to the fiscal year ended March 31, 2018.

➤ **Financial**/accounting perspective: Accumulated assets of a business that is used to generate income for the business

➤ **Economic** perspective: confers value or benefit to its owner (entrepreneur) – risk of business, ownership

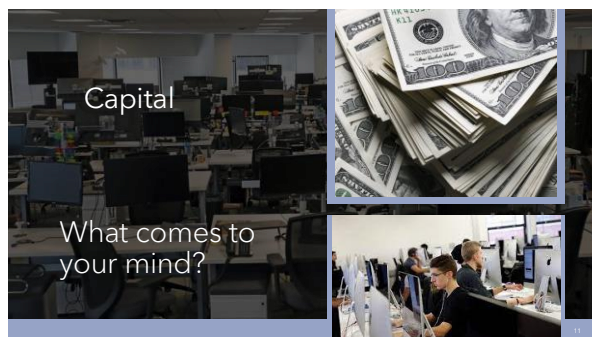
➤ **Investor** perspective/In general: a measurement of wealth and resources that provide for increasing wealth through investments (what is invested in a business)

➤ **Business** perspectives: Everything that goes into the process of converting its input to its desired output / outcome (contribution in terms of business value generation and input for the purpose)

Capital: Perspectives

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Equity Vs Debt Capital

In the secondary market, ownerships are transferred. Competitors may even buy

Debt Capital

Funds borrowed from others

Must repay on a later date

Require payment of interest (cost of debt capital)

COC payment is a must regardless of company's profit margins

Ex: A company borrowed Rs. 550,000 from a bank at 7% interest rate. Cost of capital is 7% interest

But real cost of capital may be less than when corporate taxes are deducted

Equity Capital

Funds shareholders owned /invested

Not legally bound to repay

But shareholders expect return on investment

Ex: stock valuations (share price increments), dividends

Risk to shareholders is greater than to lenders of debt capital

Be mindful of Shareholder perspective vs Business perspective

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Do you agree?

If only equity capital:
repay only if made
profits, so, WC/Cash in
hand can maintain

If debt capital:
Get money to
hand- can allocate
as wish

Mere comparison of
10% vs 3% is not
logical

"The healthy composition of capital of a business is always to have a higher equity capital over debt capital" - Exam question

You run a business and need Rs. 400,000 of financing

Option 1: Rs. 400,000 bank loan at a 10% interest rate

Option 2: sell a 25% of shares in your business for Rs. 400,000. – if dividend is 3%

Profit of the year Rs.200,000

Option 1: Interest expense (cost of debt capital= Rs.40,000
Left off profit; (200,000-40,000)= Rs.160,000

Option 2:

No debt, no interest expense, no legal bond

You have the ownership of 75% only

Left off profit; (200,000*75%)= Rs.150,000

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Statement of Financial Position		Date		Company	
		31 Dec 2022	31 Dec 2021	31 Dec 2020	31 Dec 2019
Assets					
Fixed assets		1,000,000	1,000,000	1,000,000	1,000,000
Current assets		1,000,000	1,000,000	1,000,000	1,000,000
Other assets		1,000,000	1,000,000	1,000,000	1,000,000
Total assets		3,000,000	3,000,000	3,000,000	3,000,000
Liabilities					
Fixed liabilities		1,000,000	1,000,000	1,000,000	1,000,000
Current liabilities		1,000,000	1,000,000	1,000,000	1,000,000
Other liabilities		1,000,000	1,000,000	1,000,000	1,000,000
Total liabilities		3,000,000	3,000,000	3,000,000	3,000,000

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Startup Companies- Funding Options/Alternatives

Personal investment/self funding/Bootstrapping—personal money and/or assets to secure a loan

Investors love to see that owners are committed and ready to take a risk (Aims giving for your relative)

Love money—This is money loaned or invested by family or friends

Grants—A sum of money conditionally given by government organizations

Do not have to repay if business is under the terms of the grant

Angels—Angels are generally wealthy individuals who invest directly in small businesses

They typically make small investments and offer their experience, networks (introduce your business to other businesses) and knowledge to help startups succeed.

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Startup Sri Lanka - SLASSCOM

these products more easily, efficiently and cheaply, while combating macro-economic issues such as rising rates of inflation.

3.0 WHAT IS A START-UP?

Start-ups are new businesses that are innovative—they generate new products and ways of doing things. Technology ideas are now driving innovation as much as business and product ideas. The definition of a 'tech company' has become increasingly obvious as most businesses today are built around technology—creating a high growth, high impact business environment.

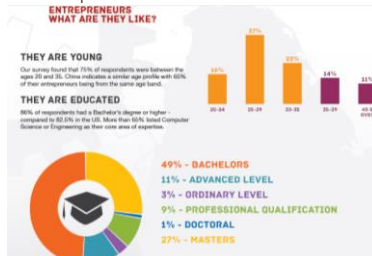
A start-up's biggest value is the entrepreneurial mindset that eventually increases the chances of growing a business successfully. There is increasing interest from stakeholders of all kinds: venture capital investors, private equity individuals, event spaces and most importantly governments to get involved as the economic benefits of fostering successful tech companies is a big plus for the future welfare of any region.

Countries such as Israel are cultivating a thriving, accessible and creative start-up environment comparable to that of the Silicon Valley. With its capital having a population similar to Colombo— it currently hosts one of the highest concentrations of start-ups with 60 accelerators, 40 co-working spaces, 60 'tech community' spaces, and almost 70 investors all within a country of just 8.4 million people. Its entrepreneurs

<https://slasscom.lk/reports/>

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Startup Sri Lanka - SLASSCOM



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Venture Capital

Financial capital provided by investors to small businesses that have high long-term potential

A type of private equity [stocks (shares) and debts of private companies, i.e. firms not listed on a stock exchange]

A primary source of funding for startups (no access to capital markets, not able to secure a bank loan, or complete a debt offering).

Startups need capital for growth, new products or to enter new markets

Most venture capital comes from a group of wealthy investors, investment banks, or other financial institutions

Not limited to financial funding; **provide managerial** and **technical expertise to startups**



Source: <https://marketbusinessnews.com/financial-glossary/venture-capital/>

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Startup Companies- Funding Options

Loans—Not easy to obtain bank loans for start-ups, but possible

Government programs are there to guarantee business loans from financial institutions

(Ex: Govt banks)

There are also organizations that specialize in lending to new ventures

Venture capital

Venture capitalists invest in the most promising start-ups in high-growth, technology-driven sectors. They take an ownership stake in companies to finance the high-risk early stages of development. They invest more than angels and expect a healthy return.

Be mindful of : Pyramids, individuals who lend

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[illegible]

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Assets are the **storages of wealth accumulated** by businesses

- Fundamental element of company's financial position

➤ Seen in Statement of Financial Position (Balance Sheet)

Things businesses possess/have control over that will bring benefits to them

Ex: Cash in flows, Liability reduction, Increase of sales, Improvement of brand image, etc.

Assets

Accounting definition may be different : We learn here
Business not Accounting please

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Conduct and other integrable acts

[illegible][illegible]

Other intangible assets acquired in a business combination are recognized at fair value using generally accepted valuation methods appropriate for the type of intangible asset and reported separately from goodwill. Intangible assets with definite lives are amortized over the estimated useful lives and tested for impairment when events or circumstances occur that indicate that it is more likely than not that no impairment has occurred. We use other intangible assets with definite lives for amortization by comparing the carrying amount to the fair value of the net undiscounted cash flows expected to be generated by the asset. Impairment exists if charges in circumstances indicate that the carrying amount of the asset exceeds its fair value. If the carrying amount of the asset exceeds its fair value, the impairment loss is calculated for the amount by which the carrying amount exceeds fair value.

Intellectual property

We continue to maintain strong arguments in part to the effect of the *renewability* of the *right of access* to information to maintain and use modified private property. We rely on a combination of private property, trademark and design laws, trade secrets, coordination procedures and contractual provisions to protect our trademark property rights and proprietary methodologies. It is our policy to enter into confidentiality agreements with our team members and consultants that generally provide that not confidential or proprietary information developed by us or on our behalf is to be used solely for the distribution of information to the public. We also have entered into confidentiality agreements with our proprietary information. We provide the proprietary services of our trademarks and services made in the United States and other countries. We license registered trademarks, "Columbia" in the United States, the "Enterprise Community" and India and have filed registrations of "Columbia" in the United States. We have registered in the United States the service mark "SPIN Data" which we use to describe our marketing service offering marketing business management in SPIN product and service offerings. We have also registered the "SPIN Data" trademark in the United States, which we use to describe the benefits of our services. We have our second patent and several pending patents in the United States.

One limitation involves the development of IT applications and other information technologies for use in clients. Our clients mainly use the embedded program in the software applications that we develop for them. We do not own the software developed to protect our clients' proprietary rights in accordance with their needs and specifications. The nature of protecting our own clients' proprietary rights, however, may not be adequate. Despite our efforts, we may be unable to prevent or obtain redressment of others' unauthorized use of our and our clients' embedded program. Legal protection may only be available in the United States and other countries where we have offices. Unlike the not-so-protected embedded program rights in the case owned at three of the United States and the United Kingdom. These concerning and expensive litigation may be necessary in the future to address these embedded program rights.

It can be **capital or assets**
those are wealth/resources for
the business

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Characteristics of an Asset

Assets

Has an economic value to a business

Owned or **have right to access** (*Driving someone's car*) by the business

Able to convert to cash

Disposal brings money to organization

Liquidity of assets;

High vs low

Ex: Money, Gold **vs** a property, building

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Assets

Current assets

Ex: cash and cash equivalents: treasury bills, certificates of deposit, and cash, marketable securities: debt securities or equity that is liquid, accounts receivables, and inventory: goods available for sale or raw materials.

Types of Assets

1 Long-term

Ex: buildings, machinery

2 Short-term

Ex: pre-paid bills, debtors

3. **Financial assets:** represent **investments** in the assets and securities of other businesses

4. **Intangible assets**

Ex: patents, copy rights, brand name

The proportion between **current and fixed assets** will be decided by each business considering;

1. Nature of the business : IT → Intangible vs Manufacturing → Fixed assets (machineries)
2. Future orientation of the business → Ratio between LT and ST assets
3. Priorities of the business → Strategic plan

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Find and Learn

Fixed Assets vs Current Assets

Decision Considerations by businesses

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Liabilities

- **Obligations** to settle in future as a result of past activity
- Thus, it is a **scarification** of future economic value in settlement of past obligation
- Seen in Statement of Financial Position (Balance Sheet)
- Legally binding
- In most situations, it is as a result of acquisition of things that **bring economic value**
- Settling results in reduction of assets
- **When to settle, how much to settle: Business Decisions** (Analysis of future values, Inflation, ForEx) – A monitoring/tracking mechanism

Assets and Liabilities

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Assets vs Liabilities

- Assets provide a future economic benefit
- Liabilities present a future obligation

Assets : Liabilities ratio affects the **Liquidity of the business**

Liquidity : ability to convert assets into cash
All assets will not be able to convert to cash

The **aggregate difference** between assets and liabilities is **equity**, which is the **net residual ownership of owners** in a business

Assets and Liabilities

How do they differ?

The importance of Liquidity

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Inflation

Expensive vs Not-affordable

Consumption: Savings: Investments

SME vs few big companies in an economy

Import: Export ratio

Production orientation

Global market coverage

What Sri Lankans learnt during past 4 years?

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Basic Business Concepts

Why do they matter?

Isn't this the Finance/Accounting person's responsibility?

Every wealth accumulated / generated by the business is **not for** the owners (I mean Wealth not profit)
Significant portion spreads through different entities of the business

Some gets into the operations in the form of expenses, others get converted to new assets and investments while some will be used in settlements

Business owners need to have an understanding on the **spread of wealth throughout the business of its own and to other**

******Successful business owners know these or have tried to interpret the concepts/terms in meaningful manner**

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Questioning Yesterday's Practices

Search for Meanings

BUSINESS KNOWHOW

Take the concept, search for the meaning, the deep meaning, applicability given Tech Advancements

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Concept of Profit

Varying meanings for businessmen, accountants, policymakers, workers & economists

- Results of business decisions
- Fuel for the business
- A measurement of success
- Return for risk
- A motivator/stimulator

Financial return or reward entrepreneurs aim to achieve to **reflect risk** they took

It is a **positive gain generated** from business operations or investment **after subtracting** all expenses or costs

Profit can be used to **measure** success of investment/business ownership/risk taken

Profit is a return on investment, results of business decisions, reward for taking risks, key source of finance, measure of business success, motivating factor & incentive for taking risks and making investments

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Consolidated Balance Sheet Data

	2008	2009	2010	2011	2012
Cash and cash equivalents	\$ 188,070	\$ 184,247	\$ 174,805	\$ 162,686	\$ 174,000
Trading account	\$ 188,070	\$ 184,247	\$ 174,805	\$ 162,686	\$ 174,000
Total assets	\$ 1,127,280	\$ 1,127,280	\$ 1,127,280	\$ 1,127,280	\$ 1,127,280
Equity	\$ 1,127,280	\$ 1,127,280	\$ 1,127,280	\$ 1,127,280	\$ 1,127,280
Liabilities	\$ 0	\$ 0	\$ 0	\$ 0	\$ 0
Total liabilities	\$ 0	\$ 0	\$ 0	\$ 0	\$ 0

IT industry

	2008	2009	2010	2011	2012
Revenue	\$ 1,207,280	\$ 1,127,280	\$ 1,127,280	\$ 1,127,280	\$ 1,127,280
Cost of revenue	\$ 603,640	\$ 563,640	\$ 563,640	\$ 563,640	\$ 563,640
Gross profit	\$ 603,640	\$ 563,640	\$ 563,640	\$ 563,640	\$ 563,640
Operating expenses	\$ 403,640	\$ 383,640	\$ 383,640	\$ 383,640	\$ 383,640
Operating profit	\$ 200,000	\$ 180,000	\$ 180,000	\$ 180,000	\$ 180,000
Other income	\$ 0	\$ 0	\$ 0	\$ 0	\$ 0
Income before income tax expense	\$ 200,000	\$ 180,000	\$ 180,000	\$ 180,000	\$ 180,000
Income tax expense	\$ 0	\$ 0	\$ 0	\$ 0	\$ 0
Net income	\$ 200,000	\$ 180,000	\$ 180,000	\$ 180,000	\$ 180,000
Other income	\$ 0	\$ 0	\$ 0	\$ 0	\$ 0
Income before income tax expense	\$ 200,000	\$ 180,000	\$ 180,000	\$ 180,000	\$ 180,000
Income tax expense	\$ 0	\$ 0	\$ 0	\$ 0	\$ 0
Net income	\$ 200,000	\$ 180,000	\$ 180,000	\$ 180,000	\$ 180,000

(1) Amounts reflect the adoption of Accounting Standards Codification Topic 805 "Business Acquisitions with Contingent" using the modified retrospective method.

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Types of Profits :

Economic profit = Total revenue-(Explicit costs + implicit costs)

Accounting Profit= Total Revenue -Explicit Costs

gross profit ????

operating profit ????

net profit ????

CFO may not interpret the figures, but you as the owners unless you hire a consultant

Gross profit = sales minus the **cost of sales (what was used sell)**
Operating profit= gross profit-operating expenses
Net profit is the income left over after all expenses, including taxes and interest

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What is your answer?

Is profits or growth important for a business?

If a business makes profit continuously, what does it signal to different stakeholders such as owners, funders, customers, etc.?

Regular face mask producer having high sales during the pandemic: Profit increased? growth ?

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Reading Business through Profits

- 2020 profits: 50 Mn
- 2019 profits: 35 Mn

Is Business growing???

Even sudden increase of profit signals something bad.

Profits as a Signal

Profit should not read standalone

What other things to be considered?

Compared against other **time periods** and industry competitors: **Benchmark your profits (referent)**

Profit can give varying meanings: BoD doing great, customer base increasing, etc

Laughing cannot conclude as happiness



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Apple vs. Market share

No complain if no high market share, neither brag if increased

Product decisions:

Profit vs Growth vs Market share

FOCUS matters

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What Is the Best Measure of a Company's Financial Health?

Reading a Business through Finance

It all depends on what priorities a business sets

What strategic vision the business holds

Uber making losses



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Profits Vs Return

Profit differs from return in three respects;

- Profit is a residual income, while return is a **total** revenue
- Profits may be negative, whereas returns, are always positive
- Profits have greater fluctuations than returns

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Small Businesses



"The best advice to a small business owner... is never stop thinking about **how to delight your customer**. Not to satisfy your customer, but to delight your customer. And when you wake up in the morning, start thinking about it. During the day, think about it. At night, think about it. And then dream about it".

- Warren Buffett

Source: goldmansachs.com

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Basic Business Concepts

Learning Outcomes

- Ability to read the concepts of; Capital; Assets; Liabilities; Profit; Return from various perspectives
- Ability to foresee the interconnectivity between Assets and Liabilities; Profit of a business
- Ability to appreciate the way businesses read these concepts depending on the industry they are in

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continued...

Question 01 [Total Marks 20]

"Capital" can mean several things depending on the industry and the subject of concern. Among different types of capital, Intellectual Capital places a significant role in a business. Further, collecting capital for the business and allocating them throughout the business need a series of decision considerations to take into account for a business to be profitable."

- a) Using IT or a technology related industry, discuss different forms of capital in a business. [04 Marks]
- b) Describe different types of intellectual capital by highlighting its role in an IT business. Use examples to elaborate the answer. [05 Marks]
- c) Explain what should consider when collecting and allocating capital throughout a business. [05 Marks]
- d) "A wise business owner will use profit as a signal not as a figure to enjoy; thus, reads profit figures with care and deeper understanding to the concept".

Explain the statement highlighting the role of profit in a business.

[06 Marks]